

MERTON DAILY BRIEF - Tuesday June 17, 2026

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Headline of the Day

*Oil in freefall: Brent below \$80 for 5th consecutive session as US-Iran peace deal nears.** Markets are digesting the announced end of the energy shock: WTI at \$74.76 (-0.09%), Brent at \$78.35, while tankers U-turn toward the Middle East before Strait of Hormuz reopening. Wall Street closes slightly lower (S&P -0.57% at 7511, NASDAQ 26376), VIX remains low at 16.41. Gold consolidates at \$4347 after last week's rally. Fed enters blackout window before June 28-29 meeting.

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Global Sentiment

Indicator	Level	Change	Signal
VIX	16.41	-	? Calm
DXY	99.51	-0.03%	? Neutral
Gold	\$4,347.20	-0.02%	? Consolidation
US 10Y	4.428%	-1.31%	? Falling
US 30Y	4.928%	-	? Stable
US 5Y	4.151%	-	? Stable
S&P 500	7,511.35	-0.57%	? Slight dip
NASDAQ	26,376.34	-	? Stable
WTI	\$74.76	-0.09%	Under pressure
Brent	\$78.35	-	5th consecutive drop
? **BTC**	\$65,854	+0.10%	? Stable
Copper	\$6.527	-	? Neutral
Silver	\$70.32	-	? Neutral

* Read:** The market is in a "soft risk-off" regime - oil falling on US-Iran peace hopes, yields declining (bond rally), gold consolidating after its rally, equities near highs. VIX at 16.41 reflects relative complacency, but the oil/equities divergence (both falling simultaneously) signals the market is already pricing the end of the energy shock. BTC at \$65.8k holds well, confirming its alternative hedge role.

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Macro - What Moved

US

Fed in blackout window: No more Fed speakers before the June 28-29 FOMC. Market is now alone with its models. Polymarket gives 99.75% probability of no change in June, 0.25% for a 25bps hike - a cut is virtually excluded.

Warsh takes office: New Fed Chair Kevin Warsh faces his first major test. Citi defends an unpopular rate cut call - debate on timing of first cut intensifies.

Treasury yields falling: 10Y down 1.31% to 4.428%, 30Y at 4.928%. Bond rally fueled by oil decline (less inflation) and peace hopes.

Oil selloff accelerating: WTI at \$74.76 (from \$84.88 five days ago = -12% in a week). Market shifting from "shock" to "normalization" pricing. EIA confirms abundant stocks.

US exceptionalism trade returns: Investors piling into bullish dollar bets (FT headline). DXY at 99.51 remains resilient despite yield decline - rate differential still favors the dollar.

SpaceX surpasses Amazon: Becomes world's 5th largest company by market cap. Tech sector remains dynamic despite geopolitical tensions.

Europe / ECB

ECB cautious on Iran: Officials explicitly state that peace in Iran "is not enough to fix the energy shock" - a hawkish signal suggesting the ECB maintains its stance despite oil decline.

SNB watching franc: Swiss National Bank reviewing franc alert level before peace deal signing.

USD/CHF at 0.7919 - franc remains strong, SNB could intervene.

Bank of France cuts forecast: New governor (neither hawk nor dove) revises 2026 forecast down, economy "skirts recession."

UK: Reeves "hopes" to fund defense without tax rises - growing fiscal tension. GBP/USD at 1.3431 stable.

China / Asia

PBOC innovates: Launches tool to boost yuan use by other central banks - a step toward de-dollarization, but immediate impact limited.

China hints at Fed-style rate setting: PBOC signals shift toward Fed-style rate setting - a modernization signal, potentially bullish for transparency.

Iron ore below \$100: Abundant supply, weak Chinese demand. Negative impact on Australian commodity exports.

BOK warns: Bank of Korea warns AI-driven bonus windfalls may stoke broader inflation - an early signal of AI's macro impact.

Japan: Trade deficit as strong yen inflates imports. BOJ keeps market steady with yen volatility at lowest since 2021.

Emerging Markets

Chile holds rates at 4.5%: Central bank sees "more balanced" inflation risks - latent dovish signal in EM.

India: Modi warns of "shortage of trust" before Trump meeting. Ambani set to launch India's largest IPO.

Putin hosts first Southeast Asia summit since Ukraine invasion - growing diplomatic isolation but economic pragmatism maintained.

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Geopolitics

Hot

US-Iran: peace deal imminent: US set to offer Iran "broad financial gains" in interim peace deal. Financial details emerging. Polymarket gives 99.85% probability of agreement signing by June 30. Sen. Johnson demands keeping Iran "in a box." Trump faces criticism: deal deemed "worse than Obama's" by opponents.

Strait of Hormuz: Tankers U-turning and rushing to Middle East before strait reopening. Qatar redirecting LNG ships. But "restoring normal traffic won't be easy" - infrastructure still damaged.

Watch

FBI foils drone plot at White House: Thwarted by a worried mom's call - reminder of domestic security tensions.

South Korea seeks Trump help on North Korean nuclear issue - could create tensions with China.

Taiwan denounces China's "gangster" tactics: Kenya detained a scholar, Beijing-Taipei diplomatic escalation.

Positive

Australia: LNG strikes end: Union reaches deal to end strikes at Ichthys - relief for Asian energy supply.

Glencore & Trafigura to invest in Merdeka's Hong Kong listing - vote of confidence in Asian markets.

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FX Focus

Pair	Level	Change	Signal
`EUR/USD`	1.1617	+0.20%	? Slight rebound
`GBP/USD`	1.3431	-	? Stable
`USD/JPY`	160.29	-	? Weak yen
`USD/CHF`	0.7919	-	? Strong franc

* Analysis:** Euro recovers slightly to 1.1617 (+0.20%) despite French economic concerns - ECB-Fed rate differential remains the main driver, and declining US yields compress the spread in favor of the euro. Dollar broadly stable (DXY -0.03% at 99.51), torn between falling yields (bearish) and US exceptionalism trade (bullish). Yen weak at 160.29, BOJ signaling no imminent intervention. Swiss franc remains overvalued at 0.7919 - SNB watching.

* Pair to watch:** `EUR/USD` - Key level at 1.1650 (resistance) vs 1.1550 (support). Catalyst: EU PMI data on Thursday and post-oil sentiment. If oil continues falling, euro could benefit from improved European trade balance.

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Commodities

Oil

WTI: \$74.76 | Brent: \$78.35

5th consecutive decline for Brent. Market shifting from "shock" to "glut" pricing. Tankers redirecting to Middle East, signaling supply normalization. EIA confirms abundant stocks. US-Iran deal is the main driver - each peace progress adds downward pressure.

Gold

Gold: \$4,347.20 (-0.02%)

Consolidation after last week's rally (from \$4,215 to \$4,348). Supported by declining real yields and geopolitical hedge demand. But US-Iran peace prospects reduce the risk premium. Gold now in "wait and see" mode before FOMC.

Silver & Copper

Silver: \$70.32 | Copper: \$6.527

Copper stable despite iron ore weakness - tech/AI demand supports copper. Silver follows gold with a slight lag. Both metals supported by green industrial demand.

Soft

Iron ore: below \$100 - Abundant supply, weak Chinese demand. Negative for Australian exports.

LNG: Australian strikes end - Relief for Asian gas prices.

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Today's Calendar - Tuesday June 17

Time (CET)	Country	Event	Impact
08:30		UK Jobless Claims	?
10:00		ZEW Economic Sentiment (DE)	?
11:00		Industrial Production (EU)	?
14:30		Retail Sales (May)	
14:30		Industrial Production (May)	?
15:00		Business Inventories (Apr)	?
16:00		NAHB Housing Market Index	?

* Rest of the week:**

Wed 18/06: Flash PMI EU/US (), EIA Oil Inventories

Thu 19/06: Jobless Claims, Philly Fed Manufacturing, UK PMI

Fri 20/06: Existing Home Sales, Consumer Sentiment (prelim)

Mon 23/06: Flash PMI EU/US (confirmations)

Thu 26/06: Durable Goods Orders, final Q1 GDP

Fri 27/06: PCE Inflation (- most important before FOMC)

Jun 28-29: FOMC Meeting ()

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Deep Macro Theme

*The Great Energy Disinflation is underway - and the market hasn't fully priced it yet.**

Oil has fallen from \$84 to \$74 in 5 trading days (-12%), a move of exceptional speed. This is not a simple technical correction: it is a regime change. The market is transitioning from an "energy shock" world

(Hormuz closed, escalation risks) to a "normalization" world (US-Iran deal imminent, maritime traffic resuming, abundant US stocks).

The implications are profound and underappreciated:

1. **Inflation:** The oil decline will feed directly into CPI in July-August, accelerating disinflation. Friday June 27 PCE will be the decisive test.
2. **Fed:** Less inflation = more room to cut. But the Fed in blackout cannot communicate. The market will over-interpret every data point.
3. **Growth:** Contrary to consensus thinking, the oil decline is NOT bullish for near-term growth - it first reflects weak demand and abundant supply. "Consumer relief" will take time to materialize.
4. **Geopolitics:** A US-Iran deal would weaken OPEC+ producers (who lose their leverage), strengthen the dollar over the medium term (less risk premium), and reconfigure energy trade flows.

The market may be underestimating: the speed of energy disinflation could force the Fed to cut faster than expected in H2 2026, creating a massive bond rally and a growth/value rotation.

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Consensus vs Reality - THE ALPHA

What the market is pricing:

1. **"Fed won't cut in June"** - 99.75% Polymarket. **TRUE.** No cut before September at earliest.
2. **"US-Iran peace already priced in"** - Oil down 12%, but market hasn't fully integrated implications for inflation and trade flows. **UNDERESTIMATED.**
3. **"Lower oil = risk-on"** - Consensus wants oil decline to be positive for equities. **WRONG** near-term: it first signals weak demand and geopolitical resolution reducing risk premium. Equities have been falling with oil for 3 days.
4. **"Gold will fall with peace"** - Logical reasoning (less geopolitical risk = less hedge demand), but ignores that gold is also supported by declining real yields and central bank buying. **PARTIALLY WRONG.**
5. **"Dollar will fall with yields"** - DXY barely moves despite 10Y plunge. US exceptionalism trade and flows into US assets compensate. **WRONG near-term.**
6. **"BTC is a geopolitical hedge"** - BTC at \$65.8k holds well in risk-off, confirming diversification role. **TRUE.**

The Alpha:

1. **Long US 10Y / Short Oil (WTI)** - Thesis: Energy disinflation accelerates yield decline, while oil continues falling toward \$70. Entry: Buy 10Y at 4.42%, sell WTI at \$74.50. Target: 10Y at 4.20%, WTI at \$70. Invalidation: WTI back above \$78 (Hormuz recloses).
2. **Long EUR/USD** - Thesis: ECB-Fed rate differential compressing (Fed will cut before ECB), and improved European trade balance (cheaper oil) supports euro. Entry: 1.1617. Target: 1.1750. Stop: 1.1520.
3. **Long Copper / Short Iron Ore** - Thesis: Copper benefits from tech/AI demand and energy transition, while iron ore suffers from Chinese weakness. Entry: Copper \$6.527, Iron ore below \$100. Target: Copper \$7.000, Iron ore \$90. Invalidation: Confirmed global recession.
4. **Short S&P 500 via VIX calls** - Thesis: VIX at 16.41 is too low for a market approaching FOMC with rapidly declining inflation (risk of overreaction). Buy VIX 18 calls at 30 days. Cost: ~1.5% of portfolio. Payoff if VIX > 22.

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Merton's Take

*We are in the "Energy Disinflation" regime - and it is the dominant theme of Summer 2026.**

Oil has fallen 12% in 5 days. This is not an accident: the market is repricing the end of the US-Iran shock. The deal is imminent (Polymarket >99%), tankers are redirecting, and US stocks are abundant. The

question is no longer "if" oil returns to \$70, but "when."

*The driver of the week is the June 27 PCE.** If it confirms disinflation (which the oil decline strongly suggests), the market will start pricing a Fed cut as early as September. This means: yields down, equities up (except energy), neutral dollar, bullish gold (declining real yields).

*My conviction:** I am long Treasuries (10Y at 4.42% is a decent entry before PCE), long gold (consolidation before rally if PCE is weak), and short oil (WTI toward \$70). I am neutral equities - S&P at 7511 is too high for residual geopolitical risk, but too well-supported by momentum to be short.

*What I'm watching:**

The June 27 PCE (the real catalyst)

Wednesday's Flash PMI data (if Europe surprises higher, EUR/USD accelerates)

Any Iran developments that delay the deal (risk of oil spike)

Today's NAHB Housing Index (signal of US housing market health)

*Suggested positioning:** 40% Long Treasuries, 20% Gold, 15% Long EUR/USD, 15% Cash, 10% Short Energy. No excessive US equity exposure at these levels.

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Sources Consulted

Yahoo Finance API - Real-time prices (S&P, NASDAQ, VIX, Gold, WTI, Brent, BTC, Copper, Silver, DXY, US 10Y/30Y/5Y, EUR/USD, GBP/USD, USD/JPY, USD/CHF)

Bloomberg RSS (Markets, Economics, Politics) - News headlines

Financial Times RSS (Home, Markets) - Market analysis

Polymarket API - Market probabilities (Iran deal, Fed decision, World Cup)

CNBC (World, Fed, Economy, Oil, Gold) - Headlines (JS-rendered pages, limited content)

Oilprice.com - Oil data (JS-rendered pages)

Trading Economics - US Calendar (auth wall, data unavailable)

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